

To the contrary, section 391.6 stays “the entirety for the litigation” from the filing of the vexatious litigant motion until 10 days after security is furnished, and “does not carve out any exception for proceedings that may continue” other than dismissal under section 391.3(b). (*Hanna v. Little League Baseball* (2020) 53 Cal.App.5th 871, 875–76.) The stay applies to the anti-SLAPP motion itself. (*Id.*)

On the current record, the Court cannot reach the merits of the anti-SLAPP motion (or the motion for reconsideration) because no bond has been posted, (1) the section 391.6 stay remains in effect, depriving the Court of authority to rule on the merits of the anti-SLAPP motion, and (2) because the security ordered on March 19, 2026 was not furnished as ordered, dismissal of the action as to Defendants is mandatory under section 391.4.

7.

CASE #	CASE NAME	HEARING NAME
CVPS2508833	MONTEREY PALMS OPERATING COMPANY, LP, A DELAWARE LIMITED PARTNERSHIP VS ARMSTRONG	DEMURRER ON COMPLAINT FOR BREACH OF CONTRACT OF MONTEREY PALMS OPERATING COMPANY, LP, A DELAWARE LIMITED PARTNERSHIP BY RUTH ARMSTRONG

Tentative Ruling: Overruled.

Defendant to file their answer to operative complaint within 20 days of this order becoming final.

Responding party to provide notice pursuant to CCP 1019.5.

This case is about an unpaid bill for skilled nursing facility care. On November 7, 2025, Plaintiff Monterey Palms Operating Company, LP, dba Monterey Palms Health Care Center (“Plaintiff”) filed a Complaint against Defendant Ruth Armstrong (“Defendant”), asserting three causes of action: (1) breach of written contract; (2) common counts (open book account); and (3) quantum meruit.

Plaintiff alleges that on or about January 6, 2024, Defendant entered into a written “California Standard Admission Agreement for Skilled Nursing Facilities and Intermediate Care Facilities” (hereinafter, “Admission Agreement”), which was signed on her behalf by her son, Chris Armstrong, as her agent and “Resident’s Representative.” (Compl. ¶ 5.) Plaintiff rendered skilled nursing care and treatment to Defendant from on or about December 18, 2023, until June 3, 2025, and alleges it is owed \$207,310.80 for that care, which Defendant has failed to pay despite demand. (*Id.* at ¶¶ 6–7, 10.)

Defendant argues that all three causes of action (breach of written contract, open book account, and quantum meruit) fail because the Complaint contains only a conclusory allegation that her son, Chris Armstrong, signed the Admission Agreement as her “agent,” without pleading any facts establishing when, how, or under what circumstances she authorized him to act on her behalf. Defendant contends that under California law, family relationship alone does not create agency, that the burden is on Plaintiff to prove authority, and that without factual allegations of express authorization, implied authorization, ostensible authority, or ratification, the Complaint is legally insufficient. Defendant alternatively argues that the Complaint is uncertain under CCP § 430.10(f) because it fails to clearly establish the basis for imposing liability on her.

In opposition, Plaintiff argues that all three causes of action are adequately pled, noting that the Complaint does allege agency—specifically that “Chris Armstrong signed the Contract as Defendant Armstrong’s agent and as the ‘Resident’s Representative’” (Compl. ¶ 5)—and that

Defendant's demand for additional facts regarding the agency relationship goes beyond what is required at the pleading stage. Plaintiff contends it is not required to prove its case in the Complaint, that Defendant can raise these issues as affirmative defenses, and that the common count causes of action (open book account and quantum meruit) are general pleadings that seek recovery of money without specifying the nature of the claim and do not require agency allegations at all.

In reply, Defendant argues that Plaintiffs' opposition confirms the Complaint's fundamental deficiency by relying solely on the conclusory allegation that Chris Armstrong signed the Admission Agreement as Defendant's "agent," without any facts showing that Defendant authorized him to bind her. Defendant contends the general rule permitting an ultimate fact allegation of agency does not apply here because the Complaint and attached Admission Agreement contain specific allegations that contradict or negate the agency relationship—including the agreement's provision that signing as "Resident's Representative" does not itself create liability, and the timing discrepancy showing services began nineteen days before the agreement was signed. Defendant further argues that the common count claims fails for the same reason because they depend on the same unpled agency link, and asks the Court to sustain the demurrer without leave to amend because amendment would be futile.

Demurrer

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (*Lewis v. Safeway, Inc.* (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (See *Aubry v. Tri-City Hosp. Dist.* (1992) 2 Cal.4th 962, 967.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (See *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.)

1st Cause of Action - Breach of Written Contract

The first cause of action alleges breach of written contract. To state a breach of contract claim, a plaintiff must plead "(1) the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to plaintiff." (*Kumaraperu v. Feldsted* (2015) 237 Cal.App.4th 60, 70 [internal quotation omitted].)

Defendant argues the Complaint contains only conclusory allegations that Chris Armstrong acted as Defendant's agent, without pleading any facts establishing Defendant authorized Chris Armstrong to bind her to the Admission Agreement. Specifically, the Complaint alleges in paragraph 5 that Chris Armstrong "signed the Contract as Defendant ARMSTRONG's agent and as the 'Resident's Representative.'" (Compl. ¶ 5.)

Defendant emphasizes that the Complaint contains no factual allegations regarding when Defendant authorized Chris Armstrong to act as her representative; how this authorization was communicated; whether Defendant was competent to authorize an agent; whether Defendant was present at the signing; whether Defendant subsequently ratified the agreement; what specific powers or scope of authority were granted; whether Defendant understood the nature and scope of the agreement; any conduct by Defendant supporting implied authorization; or any facts regarding Defendant's relationship with Chris Armstrong beyond the family relationship of parent and adult child. (Def.'s Demurrer 4:13–5:6.) Defendant further argues the Admission Agreement was executed on January 6, 2024, yet Defendant was admitted on December 18, 2023, creating

a timing discrepancy that heightens the need for specific factual allegations regarding authorization and capacity. (*Id.* at 6:6–15.)

Defendant correctly notes that family relationship alone does not establish agency (*Edwards v. Freeman* (1949) 34 Cal.2d 589, 592 [*“Edwards”*]) and that Plaintiff bears the burden to prove Defendant authorized Chris Armstrong to bind her to the contract (*Ewing v. Hayward* (1920) 50 Cal.App. 708, 716 [*“Ewing”*]). However, the distinction between pleading and proof is dispositive here.

California law is clear that “[a]n allegation of agency is an allegation of ultimate fact that must be accepted as true for purposes of ruling on a demurrer.” (*City of Industry v. City of Fillmore* (2011) 198 Cal.App.4th 191, 212–13; *Skopp v. Weaver* (1976) 16 Cal.3d 432, 439 [*“an allegation of agency as such is a statement of ultimate fact . . . further allegations explaining how this fact of agency originated become unnecessary”*].) At the pleading stage, a plaintiff need not plead evidentiary details of how agency was established. (*Skopp, supra*, 16 Cal.3d at 439; *see also* C.A. v. William S. Hart Union High Sch. Dist. (2012) 53 Cal.4th 861, 872.)

The Complaint alleges that Chris Armstrong signed the Admission Agreement as Defendant’s agent and as “Resident’s Representative,” identified as her son. (Compl. ¶ 5, Ex. A.) This allegation, taken as true under demurrer standards, is sufficient to survive a facial challenge even though Plaintiff will bear the burden of proving actual or ostensible authority at trial. (*City of Industry, supra*, 198 Cal.App.4th at 212; *Hearden v. Windsor Redding Care Ctr., LLC* (2024) 103 Cal.App.5th 1010, 1020 [*“Hearden”*].) While the Complaint does not detail the manner or timing of authorization, such evidentiary specificity is not required at the pleading stage. (*Skopp, supra*, 16 Cal.3d at 439 [rejecting defendant’s contention that “plaintiffs have not clearly alleged facts explaining how the agency relationship between them and defendants arose” as “an allegation of agency . . . is a statement of ultimate fact” and “further allegations explaining how this fact of agency originated become unnecessary”].)

Defendant cites *Edwards*, *Ewing*, and *Hearden* to support her argument that the agency allegation is insufficient. However, these authorities address the burden of proving agency at trial or on summary judgment, not what must be pleaded to survive demurrer. *Edwards* holds that agency requires “manifestation of consent” and that “filial regard alone does not establish the relationship”—a substantive rule about what agency is, not a pleading requirement. (*Edwards, supra*, 34 Cal.2d at 592.) *Ewing* expressly addresses the “burden of proof” and states that agency “must be proved by evidence aliunde”—a trial/evidentiary standard. (*Ewing, supra*, 50 Cal.App. at 716.) *Hearden* likewise concerns the burden at proof: whether a party “does not meet its burden of [proof] when it does not present any evidence.” (*Hearden, supra*, 103 Cal.App.5th at 1020.) None of these cases holds that an express allegation of agency—that Chris Armstrong signed as Defendant’s “agent”—is insufficient at the pleading stage.

Defendant nonetheless argues in reply that *Skopp*’s ultimate-fact rule does not apply here because the Admission Agreement contains specific language stating that signing as Resident’s Representative does not itself create liability. (Def.’s Reply 3:2–17.) This language, however, limits when a representative automatically becomes liable, but it does not preclude liability based on agency where, as expressly alleged here, the representative signed as the Resident’s agent. (Compl. ¶ 5.) Whether Chris Armstrong in fact had authority is a factual question unsuitable for resolution on demurrer.

Defendant further argues that services began on December 18, 2023, yet the Admission Agreement was not signed until January 6, 2024, and that this timing discrepancy heightens the need for detailed agency allegations. But whether services rendered before contract execution are covered by the agreement, or were later ratified, is a merits question, not a pleading question.

The timing discrepancy does not alter Skopp's rule that an allegation of agency is an ultimate fact accepted as true on demurrer.

Finally, Defendant relies in reply on a series of skilled nursing facility arbitration cases—*Valentine v. Plum Healthcare Group, LLC* (2019) 37 Cal.App.5th 1076; *Rogers v. Roseville SH, LLC* (2022) 75 Cal.App.5th 1065; *Young v. Horizon West, Inc.* (2013) 220 Cal.App.4th 1122; and *Flores v. Evergreen at San Diego, LLC* (2007) 148 Cal.App.4th 581—to argue that agency cannot be established by the purported agent's own conduct or by family relationship alone. These cases, however, address whether agency was *proven* to compel arbitration or establish liability in the skilled nursing context. They suffer from the same limitation as *Edwards*, *Ewing*, and *Hearden*—they establish substantive agency doctrine and evidentiary burdens, but do not hold that an express ultimate fact allegation of agency is insufficient on demurrer.

To the extent Defendant demurs on the alternative ground of uncertainty under CCP § 430.10(f), that argument also fails. Demurrers for uncertainty are disfavored and will be sustained only where the pleading is so incomprehensible that a defendant cannot reasonably respond. (*Lickiss v. Financial Industry Regulatory Auth.* (2012) 208 Cal.App.4th 1125, 1135.) The Complaint plainly identifies the parties, the Admission Agreement, the services rendered, the amount owed, and the agency theory of liability. Defendant is able to respond to the allegations, as her demurrer and reply demonstrate. Thus, the Complaint is not uncertain. Overruled.

2nd and 3rd Causes of Action - Common Counts/Open Book Account

The second cause of action alleges a common count for open book account. To state a claim for an open book account, plaintiff must plead a detailed statement constituting the principal record of transactions between debtor and creditor, showing debits and credits, maintained in the regular course of business. (*Maggio, Inc. v. Neal* (1987) 196 Cal.App.3d 745, 752.) The essential allegations are a statement of indebtedness in a certain sum, the consideration, and nonpayment. (*Farmers Ins. Exchange v. Zerin* (1997) 53 Cal.App.4th 445, 460 [*"Zerin"*].)

The third cause of action alleges quantum meruit. To state a claim in quantum meruit, plaintiff must plead that services were performed at the defendant's request, that defendant knew the services were being rendered, that the services were of reasonable value, and that they are unpaid. (*Haggerty v. Warner* (1953) 115 Cal.App.2d 468, 475 [*"Haggerty"*].)

The same agency pleading analysis applies to both the second and third causes of action. Defendant's demurrer challenges these claims on the ground that Plaintiff has not adequately pled facts establishing that Defendant authorized Chris Armstrong to bind her. However, both common count theories require only that Plaintiff allege Defendant became indebted for services rendered or an account maintained. The Complaint alleges that Defendant received skilled nursing care and treatment from Plaintiff, that an account exists for that care, and that the amount remains unpaid. These allegations, accepted as true on demurrer, sufficiently state causes of action under common count and quantum meruit theories. (*Zerin, supra*, 53 Cal.App.4th at 460; *Haggerty, supra*, 115 Cal.App.2d at 475.) Thus, for the reasons explained above with respect to the breach of contract claim, the demurrer to the second and third causes of action are each overruled.